J. Ganes Consulting, LLC

The Hard Facts on Soft Commodities℠

SOFTS: Fast Facts—November 2011



WHAT'S AHEAD?

Weather & Politics: Too Much Rain; Too Much Debt
Seasonal Swings and Spreads: Winter Freezes and Spring Plantings
Crop Reports & Other Indicators: Cocoa Product Pricing Shifts
Fundamental Favorites: Sugar View Sours
ICE Update: Thanksgiving Calendar, MF Global Response

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Weather & Politics

Too Much Rain

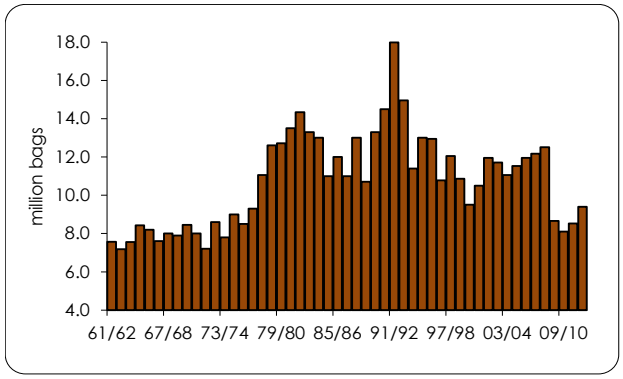
Flowering of the Brazilian coffee crop has occurred without a hitch despite a slightly delayed start to the rainy season. The flowering of the crop seems to be sufficient to get the 2012-13 crop off to a reasonable beginning stage of its development increasing the probability that a record crop will be produced. Based on the USDA statistics, which do differ from the Brazilian forecasting agency, CONAB, a crop of around 60 million bags would be a reasonable expectation given the current high prices and excellent care to the trees. Despite this outlook for plentiful future supply, current prices for Brazilian coffee instead reflect a scarcity. Brazilian differentials have firmed considerably and are now even at premiums to other growths of Mild Arabica coffee. The crop that was harvested this season was also a record for the down year, but strong local consumption as well as high international demand has absorbed much of this supply and roasters are finding it difficult to secure coffee from the world's largest producer but have found little trouble finding other growths at discounted prices. This situation is highly unusual for a year when there wasn't a huge drop in production due to the weather in the world's largest producing country. Brazil had shipped coffee fairly aggressively this past year to take advantage of the rising prices and limited supply of other growths. The market became dependent on Brazil to cover this demand. Brazil ran down supplies to do so and finished the 2010-11 season with low stocks and certainly won't be building inventories this season being the off year in the production cycle. As a result, even though 2012-13 may show a surplus, the crop won't weigh as heavily on the market as the monster 2002-03 crop did because at that time stocks were far more plentiful. It appears that perhaps roasters have been bracing themselves for a supply shortfall elsewhere and were quick to take up the Brazilians and this led to the limited supply now left and rising differentials. It would be hard to explain the market action otherwise since it is unlikely that farmers are actually holding back the supply in hopes of better prices when they realize it is a race against the clock since the potentially huge 2012-13 crop is fairly secure in its development here after and could weigh heavily on prices ahead of the harvest. This situation leaves roasters in a bit of conundrum having to rethink blends again given Brazilians are no longer a low cost option compared to Peru or other growths. The tighter differentials also are occurring at a time when the numbers of bags pending grading to become certified for delivery against the New York Arabica contract have actually been increasing.

What also is unusual is that Brazilian differentials have firmed but those of Central America haven't but it is these crops that were pelted with two weeks of solid rains that may have degraded the quality of the crop and caused some loss in bags as well with many cherries prematurely dropped to the ground or skins split on the cherries from swelling from all the moisture. There have also been increased worries about fungus from the too moist conditions. It is believed that the crops may have been spared more serious damage because the trees have been well taken care and were healthy prior to the rains hitting, helping to minimize the losses. There has also been heavy damage to roadways and infrastructure from the relentless rains that could also slow farm activity and transportation due to many washed out roadways.

Too much rain has been a problem for Indonesia this year and production figures are being downgraded to reflect the troubles with output possibly not reaching 7.0 million bags when a year ago the crop hit a record high of well over 9.0 million bags and Indonesia slid into the slot of being the third largest coffee producer in the world, briefly overtaking Colombia. The greatest worry though is once again with Colombia where too much rain during the flowering period of

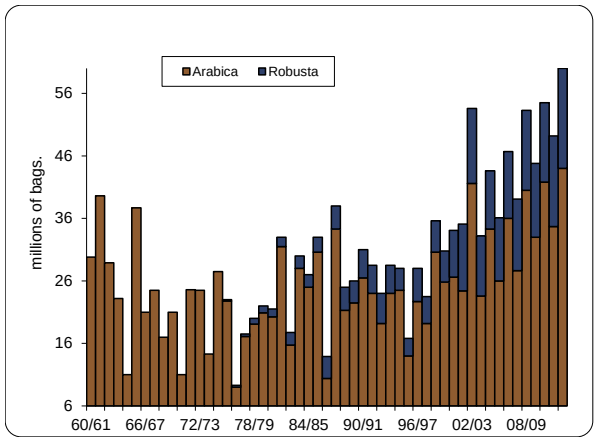
the main crop may have once again impacted production of the main crop harvest which is now underway. The 2010-11 main crop had posted a strong recovery from the prior two seasons but then the secondary harvest was extremely limited and that caused total production for the season to be scarcely recover from the year prior and fall below expectations by nearly one million bags. The USDA will be forced to revise its down as a result in the upcoming report schedule for release next month. But the 2011-12 crop was expected to rebound to 10.5 million bags and this is seeming increasingly unlikely given the possibility that the main crop may be reduced. The October data already showed a drop in production which certainly is a warning that the concerns about the weather may heed true. If not on an outright basis, the differentials for Colombian coffee are likely to firm given the possible short crop for the third year running. Colombia's production should have been recovering much faster given the positive benefits of the rejuvenation program where older trees were replaced with more disease resistant younger varieties but perhaps Colombian output may have fallen even more were it not for this.

Colombian Crop Disappointing Again?



Source: USDA

Brazilian 2012-13 Production Potential Huge



Source: USDA

Too Much Debt

I continue to believe that a dark cloud is hanging over the markets from the European debt crisis which shows no sign of being resolved any time soon and instead is likely to have a further drain on the economic outlook for the region from fear of the problems spilling over into more countries. The new governments of Greece and Italy do not, at least initially, seem to be restoring confidence with doubts about their ability to unburden the countries from the pile up of debt and turn the economies around soon. Even if the problems are contained to countries such as Greece and Italy, the fears of the contagion could be worse than the debt problems itself create. The ripple effect from this is not likely to be contained within the Eurozone but could also weigh heavily on many of the non-Euro east European countries that had previously seen demand flourish as incomes rose and more westernized lifestyles were emulated with a growing middle class. The troubles could also spread further afield to Asia if export demand from these countries is hurt and that would in turn slow the economy. To some degrees this has already started to happen. Cotton could see the greatest impact, but as whole it is likely to weigh on the softs complex

in general and the overall pricing of commodities. The markets are going to remain exceedingly sensitive to the latest headline developments and reaction in outside markets. Cotton is particularly vulnerable to slowed consumer spending where manufacturers will shrink inventories on worries that demand for clothing and other goods, especially bedding and linen, may weaken. For coffee, high prices and budget tightening are already causing consumers to try to waste less as a means of cutting back and are not stocking up on as much coffee as they had, waiting for sales in grocery stores. Shrinking cup sizes in cafes also will reduce demand, although the average consumer may still believe they are drinking the same number of cups per day if surveyed.

Although chocolate is a small indulgence consumers may also scale back purchases of higher end chocolates which tend to have a higher percentage of chocolate solids and this in turn would reduce usage and ultimately impact the amount of cocoa beans that need to be ground to satisfy demand. Cocoa grind had been holding steady in recent quarters but it is unlikely to sustain above average trend line growth of around 3% annually with the problems seeming to worsen in Europe.

Orange juice consumption could also falter. Much of Brazil's product is exported to Europe. The strength in the Euro helped to shield consumers from the high prices this past season whereas surging prices already contributed to a slowdown in the United States. A price increase is going to be passed on to European retailers as long term supply contracts that were agreed to from lower price points run out. A weakening in the Euro would make the price hike even more noticeable and potentially put a further crimp on usage. This coupled with the economic worries could certainly hurt European demand. United States demand has been dropping with no indication that this steady loss to other competing beverages is going to be arrested any time soon.

Seasonal Swings & Spreads

Winter Freezes; Spring Plantings

Winter is just around the corner and traders are going to keep a watchful eye on Florida and any hint of cold weather that could negatively impact the Florida citrus crop. It is actually important that temperatures start to cool so the trees will go into a state of dormancy and better protect them should a freeze event occur and help to limit the damage. The coldest weeks of the season are still over a month away with the greatest number of freezes having occurred over the past century between Christmas week and mid-January although there were cold weather events in early December and late January and even into February. The later in the season a freeze occurs, the less damage because much of the Early and Midseason varieties will either have been picked already or mature enough to be salvaged should some ice form inside the fruit. In late winter, frost rather than a freeze becomes theoretically more troubling because it could impact the flowering of the following season's crop reducing the potential before it even started to develop on the trees. With the FCOJ market trading at rather high price levels already speculators may not be as eager to pile on as many positions prior to the winter as they normally would. Certainly if there are any weather scares, I would fully expect speculators to flock to the market but the seasonal swing this year may be less pronounced than other years. Florida inventories are extremely limited and even with a record Brazilian crop and a poor demand outlook any weather related losses to the Florida crop could create extreme tightness and send prices to all-time highs. The market has always struggled clearing $2.00 per pound solid.

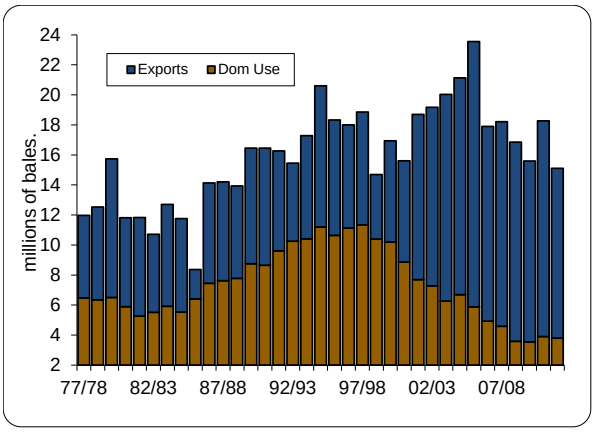
MONTHLY OUTLOOK

Cotton is another market that may buck seasonal tendencies this year. Cotton prices typically rise from harvest lows as the market starts to try to rally to sufficiently attractive levels for farmers in the United States and worldwide to consider planting more cotton acreage come spring time. With a soured demand outlook and world supplies already expected to increase sharply in 2011-12, if cotton prices were to rise too much, especially relative to other competing farm crops then the jump in planted acreage may result in too great an increase in supply.

It should be remembered that output this season in the United States was down despite a massive jump in planted acreage. Should the same number of acres be planted again in 2013 and the weather in Texas and elsewhere improves resulting in a recovery in yields and far less abandonment, the increase in the US production figure alone would be tremendous, leading to vast oversupply without a recovery in use. The ability of demand to rebound hinges on the world economic outlook as much as it does on a reduction in price.

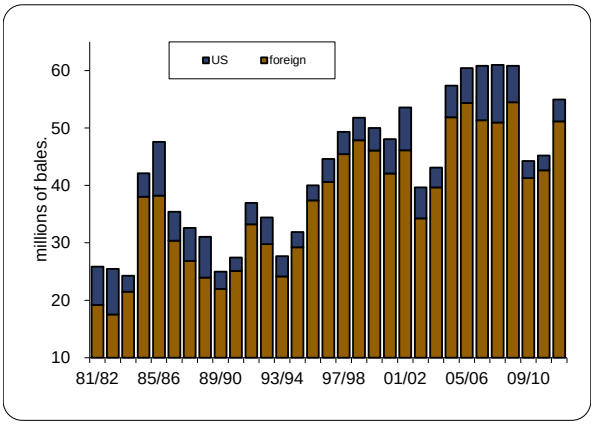
If the cotton price drops too much too soon then cotton may lose needed acreage. As much as supplies are more than sufficient for this year, if demand recovers in 2012-13 as the high priced inventory is worked through the pipeline and perhaps there is increased optimism about the economy, then production levels will need to be sustained to prevent supplies from becoming pinched once again. The market will need to find an equilibrium point where there will not be a risk of production being reduced too much but prices drop sufficiently to stimulate demand. This price may be under 90 cents rather than closer to $1.00

US Export Potential Reduced



Source: USDA

Foreign Cotton Stocks Up Sharply



Source: USDA

Crop Reports & Other Indicators

Cocoa Product Pricing Shifts

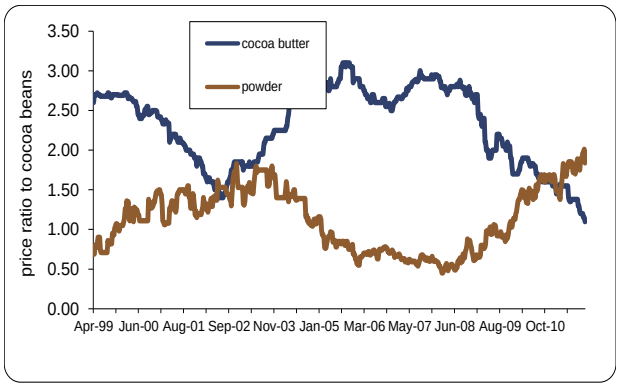
Demand has grown disproportionately for powder based chocolate products over the use of cocoa butter and this led to a tightening in cocoa powder supplies and a build-up of butter stocks since you can't grind cocoa with obtaining both powder and butter as the byproducts. Historically, either cocoa butter and powder demand would rise uniformly and therefore, grindings would not need to accelerate nearly as quickly to cover increases in use or a shift in product pricing whereby the price of butter or powder would be too high relative to the other would cause manufacturers to quickly shift their usage and that would keep the ratios and supply in check. Instead with demand mainly for powder instead of for both byproducts of cocoa liquor, grindings have had to increase that much more. . The greater the demand is for cocoa powder, the more downward pressure there should be on cocoa butter pricing since you can't manufacture cocoa powder without making butter. Butter stocks keep building while the cocoa powder is being utilized. The reason this has occurred is because much of the cocoa butter manufactured today is deodorized with the flavoring stripped of the product and so the butter is primarily used as a fat for texture rather than add to the taste.

Cocoa powder prices had surged this past year while butter prices sank lower and lower. Grindings are no longer a true measure of end-user demand and the high percentage of usage being shifted to powder may have even caused grindings to increase when ordinarily they may be falling from decreased consumption.

The latest quarterly grind data indicated strong growth but when examining the data, the numbers and percentage gains don't really tell the full story. For instance, the European grind was up 14%. However, if Germany was excluded from the data, the increase across the Continent was only 2.6% which is below historic long term average growth rates which are above 3% annually. Considering that demand should be increasing at a faster rate because of the greater need for powder, the European grind data was unimpressive. If end-user demand was holding up well, grindings should have been even higher than what was reported. As long as the beans are being ground, it would seem that it really shouldn't matter if the demand is created by manufacturers or by end-consumers, but there is a difference. It becomes a problem if industrial users finally opted to take advantage of the wide price disparity and shifted their ingredient mix to utilize more cheap priced butter by no longer using the deodorized butter or perhaps switching to artificial flavoring with the butter and/or substituted natural flavoring obtained from powder to artificial flavoring. This would cause a sudden slowdown in grindings. The price of butter will continue to sink and keep it attractively priced relative to other high-value food oils/fats that perhaps cocoa butter could be substituted for. But this would not help to redistribute usage between powder and butter, but rather just absorb the oversupply of butter which could drive up prices. In recent weeks cocoa powder prices have dropped and the combined ratio of beans to powder and butter has fallen at a faster rate which means converting margins are even less attractive. This could slow the cocoa grind—a bearish market feature.

The nearby December contract has shed considerable value prior to the delivery period with the back months holding steady due to a change in contract specifications that doesn't allow delivery of certain lower grades of cocoa that were previously permitted. Longs do not want to be caught taking delivery of this product that has decreased value and have been unwinding positions in advance of this change. Much of the cocoa in stock is believed to be of lower quality and will no longer be deliverable.

Cocoa Powder Prices Starting to Turn Down Also



Source: Milling and Baking News

Fundamental Favorite:

Sugar View Sours

The sugar market is more than 6 cents below the highs from earlier this year but still at elevated levels with more room left to the downside as supply worries should ease. World stocks of sugar are low having been drawn down two seasons ago and then last year the market was in equilibrium with little relief from the tight supplies due to ongoing weather issues that prevented world production from being in excess of demand once again. This season started off on shaky ground with worries about Brazilian availability due to a steady reduction in the estimates of the size of the sugarcane crop and yields. This was partly offset by more of the cane being processed into sugar than ethanol, preventing production of sugar from dropping too much year over year. Rains have already improved giving hope that better moisture conditions will allow for a better crop in 2012-13 which is only a few months away from the start of harvesting.

While Brazil may have struggled with their production this season, a sizeable surplus overall is still anticipated on a global basis and world stocks are finally expected to build, although not nearly as much as they would have otherwise if Brazil didn't have crop problems. Other countries though experienced excellent weather and their output is even better than anticipated, offsetting the losses from Brazil. But this is only part of the story and the real bearishness is that not only will exporters have increased supply but importers are expecting a huge jump in output and this is reducing their need to purchase more sugar at a time when exporters will have greater availability. This imbalance between exporter's availability and importers needs should exert downward pressure on the market with a gaping difference of more than five million tonnes.

The European Union had excellent conditions and supplies should be plentiful leaving sufficient sugar for the region to have excess sugar available for export. The weather in Eastern Europe was similarly ideal and yields were up sharply giving rise to much higher output in Russia, Ukraine and Belarus. Production has jumped so much so that some of the increase may go to waste because there isn't sufficient capacity to process all of it. Prospects in other countries are just as favorable, reducing the reliance on key exporters.

Importers with added supply will be looking to unload inventory to take advantage of the attractive prices just as other exporters have increased availability. India is pushing to increase exports this season whereas two years ago the country was a net importer. Across the board production will be higher in 2011-12 than it was in 2010-11 for the world's top exporters with Brazil being the main exception.

ICE Update:

ICE Futures US Thanksgiving Holiday Trading Schedule

AGRICULTURAL PRODUCTS (Including RJ/CRB and CCI contracts)

DATE	OPEN OUTCRY	ELECTRONIC
Wed, Nov. 23	Regular Hours	Regular Hours
Thu, Nov 24	Closed	Closed
Fri, Nov 25	Early Close – 12:45 PM ET	Early Close – 1:00 PM ET

Settlement prices on 11/25 will be based on the following periods for each product:

Sugar No. 11 and Coffee "C" contracts from 12:43 to 12:45 pm ET;

Cotton No. 2, FCOJ, CCI and RJ-CRB contracts from 12:44 to 12:45 pm ET;

Sugar No. 16 contracts from 12:59 to 1:00 pm ET.

Cocoa settlement prices will be based on the regular 11:48 to 11:50 am period.

TAS trading in these products will end at the end of the settlement period for the product.

ICE and the Management of the Default of MF Global

Information about IntercontinentalExchange (including ICE Futures U.S., ICE Futures Canada, ICE Futures Europe and ICE OTC) and the management of the MF Global bankruptcy is available at https://www.theice.com/publicdocs/MFG_Default_Management.pdf. The documents include the November 10 ICE Futures U.S. letter to Judge Glenn of the United States Bankruptcy Court urging that the Court immediately permit the release of as much of the cash balance as possible that remained in the accounts of liquidating and transferring customers at MF Global.

Cocoa Open Interest and Volume Records

ICE cocoa futures and options set open interest records of 198,865 contracts and 134,866 contracts, respectively, on October 28. ICE cocoa options had established a daily volume record of 17,975 contracts on October 4.

About J Ganes Consulting

Food and agricultural businesses can rely on the pertinent research, expert analysis, and historical perspective of J. Ganes Consulting, LLC. Our market reports, customized research, consulting services, and workshops offer insight, on-target forecasting, and objective thinking.

We filter and synthesize supply-and-demand information drawn from critical industry publications and our personal contacts in the field; we interpret that information; and we put it in a context to support your business.

About ICE Futures U.S.

This newsletter is brought to you compliments of ICE Futures U.S. Some helpful links about soft commodities at ICE Futures are:

Margins

Exchange and Clearing Fees

Contract specifications

- **Cocoa**
- **Coffee "C"**
- **Cotton**
- **FCOJ-A**
- **Sugar No. 11**

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